Complete Financial Literacy

Module 3 Study Guide

Debt Management Strategies

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Know Exactly What You Owe

In this lesson: Gather documents; Build the table; Fill in the example; Keep it updated.

Key points

- Gather documents
- Build the table
- Fill in example
- Keep updated

Examples from the lesson

- You are in the Complete Financial Literacy course, Module 3: Debt Management Strategies, Lesson 1: Know Exactly What You Owe.
- The objective of this lesson is simple: list every debt you have, with its current balance, interest rate, and minimum monthly payment, all in one clear debt snapshot.
- This snapshot becomes the foundation for any payoff strategy you choose later. Step one: gather all your debt documents. Pull out your credit card statements, loan agreements from the credit union, store card bills, and any hire-purchase contracts you signed for Carnival costumes or appliances.
- If you have only a receipt or a text message, keep it handy; every piece counts. Step two: set up a simple table. Create four columns: Creditor, Balance (TT$), Interest Rate (APR %), and Minimum Monthly Payment (TT$).
- Step three: fill in each row with the information from your statements.
- Imagine you have four debts: a credit card, a personal loan from the credit union, a department store card, and a hire-purchase for a Carnival costume.
- For the credit card, the statement shows a balance of TT$12,500, an annual percentage rate of 24%, and the minimum payment due this month is TT$375.
- For the personal loan, the balance is TT$8,000, the APR is 12%, and the monthly installment is TT$200.
- The store card lists a balance of TT$3,200, an APR of 18%, and a minimum payment of TT$96.
- Finally, the hire-purchase agreement shows a balance of TT$5,500, an APR of 15%, and a required payment of TT$165 each month.

- If a statement does not list a minimum payment, you can estimate it as roughly three percent of the outstanding balance.
- For example, three percent of TT$12,500 is TT$375, which matches the credit card minimum shown.
- In our example, the total debt is TT$29,200 and the combined minimum payment is TT$836. Step four: keep this snapshot updated. After each payment, adjust the balance; if you take on new credit, add a new row.
- So let's recap: gather all debt statements, create a four-column table, fill in each creditor's balance, APR, and minimum payment, total the amounts, and refresh the snapshot regularly.

Lesson 2: Avalanche vs. Snowball: Choosing Your Payoff Plan

In this lesson: Understand avalanche method; Understand snowball method; Apply a TT$ work

Key points

- Avalanche targets highest interest to save money
- Snowball starts with smallest balance for quick wins
- Choose the method that fits your habits and life in T&T

Examples from the lesson

- You're in the Complete Financial Literacy course, Module 3: Debt Management Strategies, Lesson 2: Avalanche vs.
- A good payoff strategy keeps you moving forward without feeling deprived, and it helps you avoid the trap of taking on new debt while you're still clearing the old one.
- There are two popular methods that people use worldwide, and they work just as well here in T&T.
- Imagine you have three debts: a credit-card balance of TT$12,000 charging 24 % APR, a personal loan from the credit union for TT$8,000 at 12 % APR, and a store-card owed TT$3,000 at 18 % APR.
- You can afford to put TT$1,500 each month toward debt repayment after covering your essentials like food, transport, and utilities.
- With the avalanche method you would target the credit-card first because its 24 % rate is the highest, while still paying the minimums on the loan and store-card.
- With the snowball method you would start with the store-card, the smallest balance at TT$3,000, to feel the satisfaction of clearing a debt quickly.
- Your minimum payments might be TT$300 on the credit-card, TT$200 on the personal loan, and TT$100 on the store-card, totalling TT$600.
- That leaves TT$900 extra each month to throw at the credit-card.
- In month one you pay TT$1,200 toward the credit-card (TT$300 minimum + TT$900 extra), reducing the balance to roughly TT$10,800 after interest.
- In month two you repeat the process, and after about eleven months the credit-card is gone, then you roll the full TT$1,500 onto the personal loan, and so on.

- The snowball method would instead put the TT$900 extra onto the store-card first, clearing it in about three months, then move to the personal loan, and finally the credit-card.
- In the next lesson, Lesson 3: Talking to Lenders and Avoiding New Debt Traps, we'll learn how to negotiate better terms and steer clear of fresh borrowing pitfalls.

Lesson 3: Talking to Lenders and Avoiding New Debt Traps

In this lesson: Preparing for Lender Negotiations; Restructuring Terms and Options; Spotting H

Key points

- Negotiate directly with lenders using clear budget figures
- Uncover hidden fees in hire purchase and micro-loans
- Build emergency buffers to avoid taking on new debt

Examples from the lesson

- In our course "Complete Financial Literacy," we are in Module 3, "Debt Management Strategies," and today we are tackling Lesson 3: "Talking to Lenders and Avoiding New Debt Traps."
- Imagine you want to buy a new couch set with a cash price of TT$ 6,000, but you decide to take the store's zero-down hire purchase plan instead.
- The contract charges a monthly interest rate of 3.5% over a 24-month term, which equates to a monthly installment of TT$ 372.
- Over the full 24 months, those TT$ 372 payments add up to a total payout of TT$ 8,928 for that couch.
- Subtracting the original TT$ 6,000 cash price reveals that you paid an extra TT$ 2,928 purely in interest and finance fees.
- That means you paid nearly 49% more than the couch was worth just for the convenience of spread-out payments.
- If you had saved that TT$ 372 each month in a regular credit union account instead, you would have bought the couch in cash after 17 months and kept TT$ 2,928 in your pocket.
- While consolidating multiple payments into one lower installment sounds convenient, extending your debt over a longer term often increases the total dollar amount of interest you pay in the long run.
- Even setting aside TT$ 200 a month into a separate emergency fund keeps you from taking a high-interest cash advance when your maxi taxi needs a quick repair or a home appliance breaks down.
- In our next module, we will shift our focus from clearing debt to building long-term wealth, starting with Module 4: "Smart Budgeting and Saving Techniques."

Recap checklist — can you say each one?

Lesson 1: Know Exactly What You Owe

- ☐ Gather documents
- ☐ Build the table
- ☐ Fill in example
- ☐ Keep updated

Lesson 2: Avalanche vs. Snowball: Choosing Your Payoff Plan

- ☐ Avalanche targets highest interest to save money
- ☐ Snowball starts with smallest balance for quick wins
- ☐ Choose the method that fits your habits and life in T&T

Lesson 3: Talking to Lenders and Avoiding New Debt Traps

- ☐ Negotiate directly with lenders using clear budget figures
- ☐ Uncover hidden fees in hire purchase and micro-loans
- ☐ Build emergency buffers to avoid taking on new debt